Fund Management Process of Investment Corporation of Bangladesh (ICB)

A Financial Analysis of Sources & Uses of Fund (2020–2024)

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Understanding Fund Management

Fund management refers to strategic planning, sourcing, allocation, and monitoring of financial resources within an organization. In the context of a government-backed investment institution like the Investment Corporation of Bangladesh (ICB), effective fund management ensures not only financial stability but also sustainable economic development through efficient capital deployment.

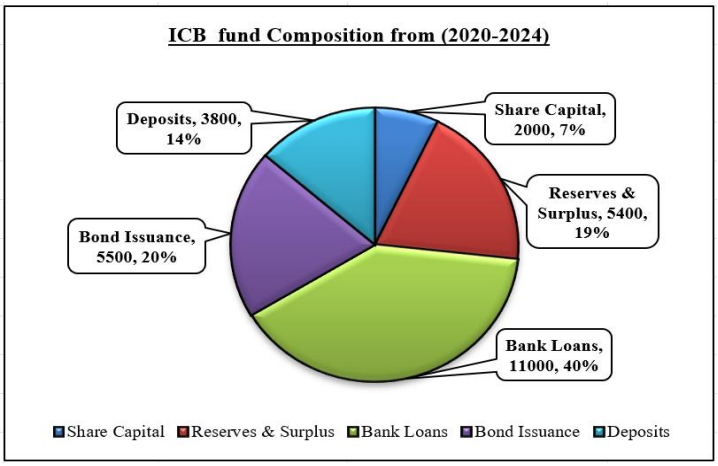
About the Company: Investment Corporation of Bangladesh (ICB)

ICB is a state-owned investment institution established in 1976 to mobilize savings and invest them in productive ventures, thereby accelerating industrialization in Bangladesh. It acts as a catalyst in the capital market by investing in securities, providing loans, and underwriting new issues. Being a government-backed entity, ICB has access to both public and institutional funding and is expected to manage its funds with prudence and transparency.

Sources of Fund

From 2020 to 2024, ICB's funding came primarily from five sources:

Sources of Fund	2020-21	2021-22	2022-23	2023-24	Total (20-24)
Share Capital	500	500	500	500	**2000**
Reserves & Surplus	1200	1300	1400	1500	**5400**
Bank Loans	2000	2500	3000	3500	**11000**
Bond Issuance	1000	1200	1500	1800	**5500**
Deposits	800	900	1000	1100	**3800**
Total Sources	**5500**	**6400**	**7400**	**8400**	**27700**



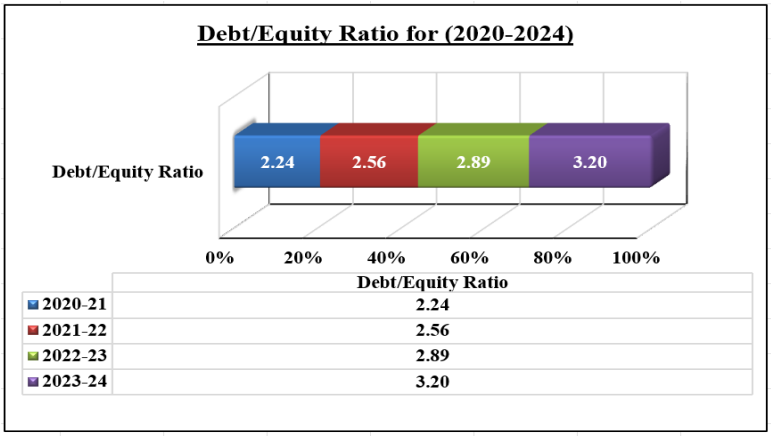
ICB mainly depends on bank loans (40%) and bond issuance (20%) for its funds, while its own share capital is only 7%. This high reliance on debt means ICB can invest more but faces higher financial risk. Its reserves and surplus (19%) show some financial strength. Overall, ICB is highly leveraged and should manage its debt carefully.

- **Capital Structure Analysis (Debt vs Equity Ratio)**

This analysis helps to understand how much of the company's funding comes from debt compared to equity.

Debt vs Equity Ratio:

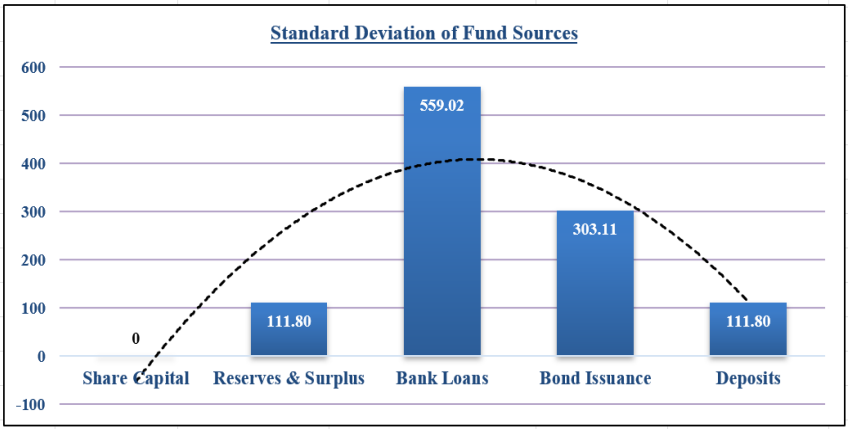
Debt (Bank Loans + Bonds + Deposits) ÷ Equity (Share Capital + Reserves)



ICB's rising debt-equity ratio (2.24 to 3.20) signals increasing reliance on debt, amplifying financial risk and leverage. This aggressive capital structure may strain repayment capacity if earnings falter, requiring cautious debt management.

- **Stability for Fund Sources (Standard Deviation Analysis)**

Standard deviation shows which fund sources are stable, and which ones change a lot. This helps ICB plan better by relying more on stable, predictable sources.



The standard deviation shows that bank loans (559.02) and bond issuance (303.11) are highly unstable, meaning ICB's reliance on them may carry risk due to large yearly changes. In contrast, share capital (0) is completely stable, and both reserves & surplus (111.80) and deposits (111.80) show moderate stability. This means ICB can depend more on reserves and deposits for stable fund planning, while it should carefully manage the risk from fluctuating debt sources.

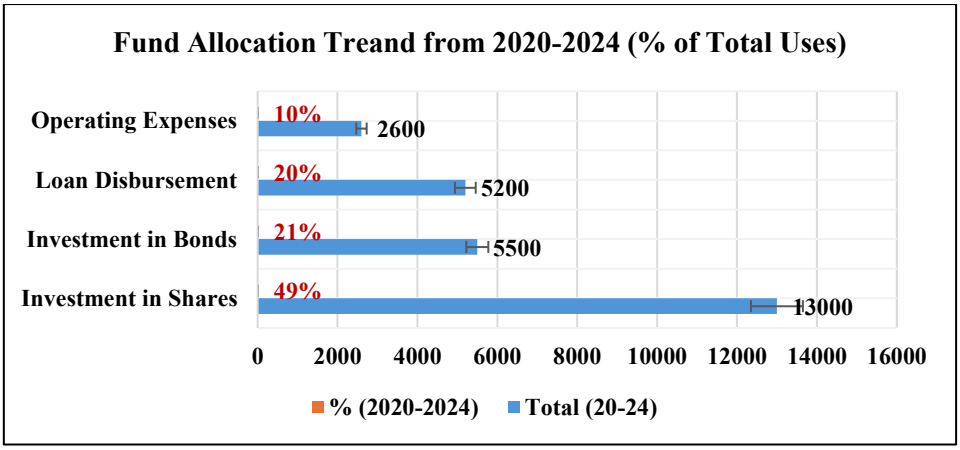
Uses of Fund Analysis

ICB primarily uses its funds in:

Uses of Fund	2020-21	2021-22	2022-23	2023-24	Total (20-24)
Investment in Shares	2500	3000	3500	4000	**13000**
Investment in Bonds	1000	1200	1500	1800	**5500**
Loan Disbursement	1000	1200	1400	1600	**5200**
Operating Expenses	500	600	700	800	**2600**
Total Uses	**5000**	**6000**	**7100**	**8200**	**26300**

- **Fund Allocation Trend (2020–2024)**

This analysis shows how much funds are used in each area every year. It helps understand changing priorities and where ICB is focusing on its investments over time.



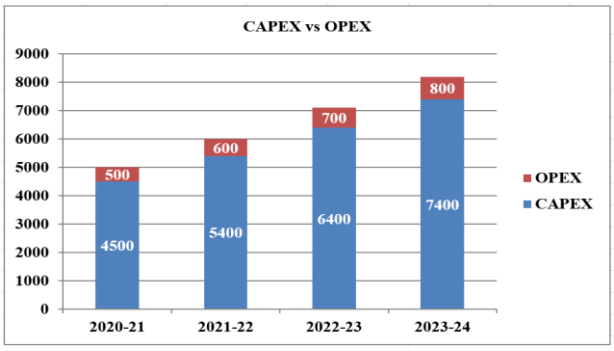
From 2020 to 2024, ICB allocated most of its funds to Investment in Shares (49%), showing a strong focus on capital market. Bonds (21%) and loans (20%) also received significant share, while only 10% was used for operating costs. This indicates a long-term investment strategy with less focus on day-to-day expenses.

- **CAPEX vs OPEX Ratio Analysis**

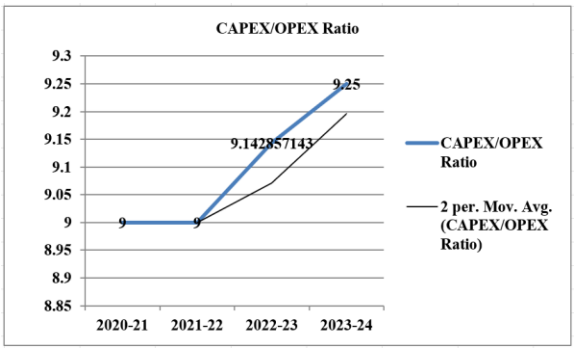
This analysis is done to see how much funds are spent on long-term investments (CAPEX) vs daily operations (OPEX). It helps assess growth focus and spending balance.

CAPEX vs OPEX Ratio = Total CAPEX ÷ Total OPEX

Year	Investment in Shares	Investment in Bonds	Loan Disbursement	Operating Expenses	CAPEX	OPEX	CAPEX/OPEX Ratio
2020-21	2500	1000	1000	500	4500	500	9
2021-22	3000	1200	1200	600	5400	600	9
2022-23	3500	1500	1400	700	6400	700	9.14
2023-24	4000	1800	1600	800	7400	800	9.25



The bar graph shows that ICB consistently spent much more on CAPEX than OPEX from 2020–2024. This means the company focused more on long-term investments (like shares, bonds, and loans) and less on day-to-day operational costs.



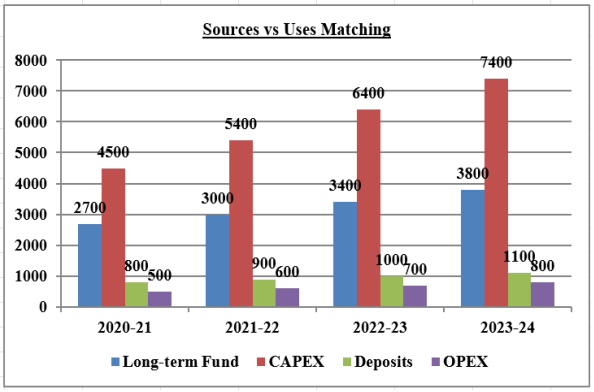
The ratio increased slightly from 9.00 to 9.25, showing a steady pattern where ICB is maintaining high investment in capital assets compared to operating expenses. This indicates a strong growth-oriented fund management approach.

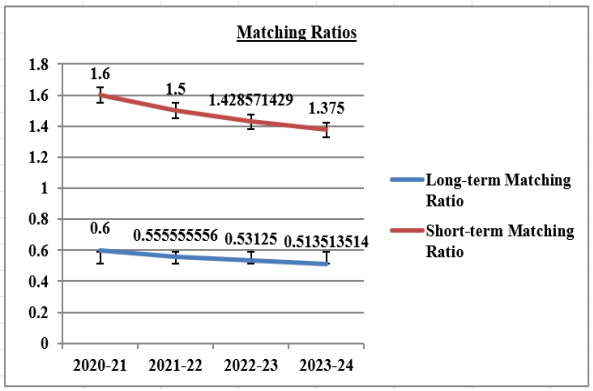
- **Sources vs Uses Matching Analysis**

This analysis checks if long-term funds are used for long-term investments and short-term funds for short-term needs. It shows how balanced and sound ICB's fund management is.

Long-term Matching Ratio= (Equity + Bond) ÷ CAPEX
Short-term Matching Ratio= Deposits ÷ OPEX

Year	CAPEX	OPEX	Long-term Fund (Equity + Bonds)	Short-term Fund (Deposits)	Long-term Matching Ratio	Short-term Matching Ratio
2020-21	4500	500	2700	800	0.6	1.6
2021-22	5400	600	3000	900	0.56	1.5
2022-23	6400	700	3400	1000	0.53	1.43
2023-24	7400	800	3800	1100	0.51	1.38





ICB's long-term matching ratio is decreasing every year (from 0.60 to 0.51), meaning it is using less long-term funds for long-term investments. This may lead to repayment stress and financial risk in the future if short-term funds are used for long-term needs.

ICB's short-term matching ratio stays above 1.0 (from 1.60 to 1.38), meaning it is using short-term funds well to cover its daily expenses. This shows healthy short-term fund management, though the slight decline should be monitored.

Conclusion

ICB's fund management shows increasing reliance on debt, especially from bank loans and deposits. These funds are mainly used in long-term investments like shares and bonds. The analysis confirms that long-term sources fund long-term uses. Notably, rising deposits support strategic investment areas, ensuring balanced and growth-focused fund allocation over 2020–2024.